

1. Which of the following statements explain why a barter system restricts exchange?
 - I. There must be a coincidence of wants.
 - II. The commodities used are not homogeneous.
 - III. It is difficult to divide certain commodities
 - IV. A rate of exchange must be determined.
 - (A) I and II only
 - (B) III and IV only
 - (C) I, II and III only
 - (D) I, III and IV only
2. Which one of the following is NOT a function of money?
 - (A) Measure of value
 - (B) Medium of exchange
 - (C) Indivisibility
 - (D) Store of value
3. Which of the following categories would subsidised meals for employees fall under?
 - (A) Wages and salaries
 - (B) Workmen's compensation
 - (C) Duty allowance
 - (D) Fringe benefits
4. The type of business environment most typical of the Commonwealth Caribbean area is
 - (A) corporate state
 - (B) mixed economy
 - (C) centrally planned
 - (D) perfectly competitive
5. In which of the following situations would the individual have limited liability?
 - (A) Tom who has 200 shares in a company that produces beer
 - (B) Alfred who is running a business of his own
 - (C) Mary who is carrying on a hairdressing shop jointly with her sister
 - (D) Lucy who owns a private secretarial school
6. In the Caribbean, many people are hired for sugar-cane farming and very little equipment is used. This industry can BEST be described as
 - (A) labour intensive
 - (B) having high capital input
 - (C) having low capital input
 - (D) capital intensive
7. Which of the following characteristics of the sole trader type of business is NOT advantageous to the owner?
 - (A) Secrecy
 - (B) Unlimited liability
 - (C) Low operational cost
 - (D) Ownership of all profits
8. Which of the following outcomes is LEAST likely to result from growth in an organization?
 - (A) Increased capital investment
 - (B) More division of labour
 - (C) Greater productivity
 - (D) Increased communication

9. In a firm with a departmentalized structure, which department performs the four duties listed below?

- I. Receiving the goods purchased
- II. Giving a report of the quality of goods received
- III. Applying the principles involved in costing goods
- IV. Keeping an inventory

- (A) Finance
- (B) Purchasing
- (C) Stock control
- (D) Marketing

10. Selecting objectives and the procedures for achieving goals is referred to as

- (A) planning
- (B) organising
- (C) controlling
- (D) motivating

11. The manager of ABC company has embarked on sponsoring a school cricket team in a Caribbean territory. The company is fulfilling its

- (A) social obligation
- (B) economic obligation
- (C) obligation to customers
- (D) obligation to maximise surpluses

12. For employees to produce at their maximum, which of the following is important?

- I. Suitable working conditions
- II. Holiday with pay
- III. Good human relations
- IV. Creating surplus

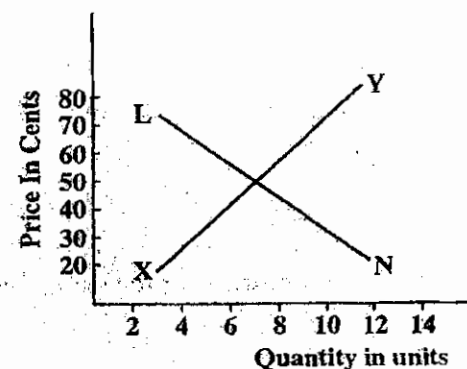
- (A) I and II only
- (B) I and III only
- (C) II and IV only
- (D) III and IV only

13. Which of the following responsibilities must be assumed by the management of a company?

- I. Maximising efficiency and creating surpluses
- II. Maintaining good communication and human relations
- III. Producing goods of a marketable quality
- IV. Determining dividends to be paid to shareholders

- (A) I only
- (B) I and IV only
- (C) I, II and IV only
- (D) I, II, III and IV

Item 14 refers to the graph below.



14. According to the information given in the graph above, the equilibrium price in cents is

- (A) 20
- (B) 50
- (C) 60
- (D) 80

15. An essential feature of a valid contract is that

- (A) the offer has been accepted by the offeree either in writing or orally.
- (B) a counter offer has been made by the offeree to the offeror.
- (C) the offer is made in writing by the offeror.
- (D) the offer has been communicated to the offeree.

16. Which of the following are functions of management?

- I. Co-ordinating the work of employees
 - II. Delegating work to subordinates
 - III. Controlling employees and raw materials
 - IV. Ensuring that employees join a trade union
- (A) I and II only
 - (B) II and III only
 - (C) I, II and III only
 - (D) II, III and IV only

17. Which of the following situations would occur if a contract for the sale of goods becomes void?

- I. The prospective buyer becomes the owner.
 - II. The prospective buyer does not become the owner.
 - III. The seller has the right to keep any money or goods which have been given to him in this transaction.
 - IV. The seller must return any money or goods given to him by the prospective buyer for the transaction.
- (A) I and III only
 - (B) I and IV only
 - (C) II and III only
 - (D) II and IV only

18. Under which of the following conditions can a contract be terminated?

- I. Both parties agree to do so.
 - II. One party loses his job.
 - III. The subject matter ceases to exist.
 - IV. The subject matter is illegal.
- (A) I and II only
 - (B) I and III only
 - (C) II and III only
 - (D) III and IV only

19. The money used for the day-to-day operations of a business is called

- (A) fixed capital
- (B) nominal capital
- (C) floating capital
- (D) working capital

20. An increase in the productivity of labour in the Caribbean region means that

- (A) the value of output per man is greater than before.
- (B) more factors of production are available for production.
- (C) a greater number of the population is now employed.
- (D) both population and the value of output are decreasing.

21. A, B and C have dissolved their partnership which is worth \$12 000. Proceeds are divided in the ratio 3 : 2 : 1 respectively. How much does B get?

- (A) \$1 500
- (B) \$3 000
- (C) \$4 000
- (D) \$6 000

22. The supply of labour is adversely affected by

- (A) an increase in migration
- (B) a reduction in small scale operations
- (C) an increase in population
- (D) a reduction in the school-leaving age

23. The factor of production which earns interest is

- (A) land
- (B) capital
- (C) labour
- (D) enterprise

24. Which of the following is a fixed asset?

- (A) Bicycle for private use
- (B) Washing machine for resale
- (C) Motor car for family use
- (D) Van for delivery of goods

25. Which of the following productive activities is LEAST likely to be conducted on a large scale in the Caribbean region?

- (A) Packaging
- (B) Mining
- (C) Whaling
- (D) Building

26. The location of an extractive industry is LEAST affected by

- (A) proximity to large shopping areas
- (B) proximity to sources of raw materials
- (C) availability of an abundant labour supply
- (D) the presence of good roads and drainage

27. A firm expands to achieve internal economies of scale because it wants to

- (A) increase costs of production
- (B) increase worker's wages
- (C) decrease the quantity of goods it produces
- (D) decrease its costs per unit

28. What is the MOST likely effect of a substantial increase in the duty on cars on the car-buying public?

- (A) An increase in the use of public transportation
- (B) A decrease in car purchases
- (C) An increase in the number of car pools
- (D) A decrease in the consumption of gasoline

29. Which of the following practices does NOT result from mechanization?

- (A) Production is increased.
- (B) Goods are produced to a standard pattern.
- (C) People may be needed for manual work.
- (D) The specialist becomes more skilled in his work.

30. A capital-intensive industry is characterized by

- (A) large amounts of capital and very little labour
- (B) large amounts of labour and very little capital
- (C) all capital and no labour
- (D) capital and labour in the same proportion

31. Which of the following activities carried out in a firm will NOT be under the supervision of the marketing manager?

- (A) Packaging
- (B) Advertising
- (C) Distribution
- (D) Purchasing

32. All persons can be called consumers because they

- (A) satisfy themselves
- (B) have wants
- (C) use goods
- (D) buy goods

33. The PRIMARY function of advertising is to

- (A) communicate information
- (B) promote brand loyalty
- (C) ensure wider distribution of goods
- (D) promote public relations

34. Which of the following practices is LEAST likely to be described as good public relations for a company?

- (A) The offering of scholarships
- (B) Reduction in price to retailers
- (C) Sponsorship of a steel band
- (D) Hosting of an annual sport event

35. In which of the following types of trade can the hire purchase method of buying be used?

- (A) Wholesale trade
- (B) Import trade
- (C) Retail trade
- (D) Foreign trade

36. Which of the following is NOT a function of the retailer?

- (A) Selling in small quantities
- (B) Providing a local supply of goods
- (C) Preparing goods for resale
- (D) Transporting goods to suitable storage facilities

37. A 'purchase order' is a

- (A) statement offering to buy goods
- (B) notification of goods received
- (C) statement of debts outstanding
- (D) request for additional goods

38. Which of the following documents would have been used by a ship owner who agreed, for a sum of money, to provide a ship to transport a shipment of cargo from one port to another?

- (A) Import licence
- (B) Bill of lading
- (C) Charter party
- (D) Airway bill

39. A post-dated cheque is one which

- (A) was written no longer than six months ago
- (B) is dated by the businessman to agree with the date of the document requesting payment
- (C) is dated by the bank dates on the day the cheque is presented for payment
- (D) is dated for payment at a future date

40. If an exporter quotes prices CIF, it means that the

- (A) exporter pays the freight
- (B) importer pays the freight
- (C) exporter pays insurance and freight
- (D) importer pays insurance and freight

41. For which of the following reasons is a small retail outlet able to survive despite competition from large department stores?
- I. It sells goods at cheaper prices.
 - II. It buys goods at lower costs.
 - III. It benefits from personal contact with customers.
 - IV. It has lower overhead costs.
- (A) I and II only
(B) II and III only
(C) III and IV only
(D) I and IV only
42. One of the MAJOR functions of a central bank is to
- (A) issue notes and coins
 - (B) accept deposit accounts
 - (C) make loans and advances
 - (D) issue stocks and shares
43. Which of the following CANNOT be used as collateral for obtaining a loan from a financial institution?
- (A) A mortgaged home with insurance coverage
 - (B) An insurance policy with a cash value
 - (C) An amount in a fixed deposit account
 - (D) Legally owned property not covered by insurance
44. The MOST important use of collateral security to the lender is that it
- (A) can be sold if the borrower fails to pay.
 - (B) gives the banker an idea of the state of the business.
 - (C) establishes the financial position of the borrower.
 - (D) improves the borrower's chance of getting a loan.
45. A country will restrict importation of certain items in order to do which of the following?
- I. Assist local industries.
 - II. Prevent similar items from being consumed by its citizens.
 - III. Encourage use of local resources.
 - IV. Alter the lifestyle of its citizens.
- (A) I only
(B) I and III only
(C) II and III only
(D) II and IV only
46. When a high property tax is levied in a country it is most likely to have all of the following effects EXCEPT to
- (A) reduce the number of new buildings erected
 - (B) encourage business firms to set up business elsewhere
 - (C) create additional revenue for the government
 - (D) entice citizens into buying more land
47. Which of the following is an example of indirect taxation?
- (A) Consumption tax
 - (B) Income tax
 - (C) Estate duty
 - (D) Water rate
48. When a Government subsidizes a commodity, it means that the Government
- (A) has limited the importation of the commodity.
 - (B) has levied a purchase tax on the commodity.
 - (C) is helping to pay part of the production cost of the commodity.
 - (D) is encouraging the production of a substitute for the commodity.

49. The price of an article is usually high when there is a
- (A) large quantity for sale and few people wanting to buy
 - (B) small quantity for sale and few people wanting to buy
 - (C) small quantity for sale and many people wanting to buy
 - (D) large quantity for sale and many people wanting to buy
50. Market equilibrium exists when
- (A) buyers pay reasonable prices for goods
 - (B) sellers are satisfied with the price paid for their goods
 - (C) at the ruling market price, buyers do not want to add to the stock of goods they already have
 - (D) at current prices, the amount of goods buyers wish to buy equals the amount sellers want to sell
51. A 'market' in economic terms is defined as
- (A) a place where tangible goods are bought and sold
 - (B) a specific place where buyers and sellers meet
 - (C) a situation which exists when buyers and sellers influence the price of goods
 - (D) the business centre of the community
52. Which of the following market situations is typically found where there is a large number of producers and consumers?
- (A) Perfect market
 - (B) Imperfect market
 - (C) Oligopoly
 - (D) Monopoly
53. Which of the following practices would NOT contribute to the economic development and growth of a community?
- (A) Increased use of the country's natural resources
 - (B) Provision of loans and technical assistance for establishing local businesses
 - (C) Increased importation of consumer goods
 - (D) Provision of more infrastructure within the country
54. International trade owes its origin to
- (A) countries with large populations not having sufficient goods
 - (B) the varying resources of different regions
 - (C) the fact that countries desired to have greater contact with each other
 - (D) the great need for foreign exchange by most countries
55. A country has a favourable balance of trade when
- (A) exports are higher in value than imports
 - (B) imports are greater in value than exports
 - (C) there are no restrictions to trade
 - (D) imported goods are cheaper
56. If a Caribbean country should devalue its currency, it is MOST likely that
- (A) its imports would become cheaper and its exports would become more expensive
 - (B) its imports would become more expensive and its exports would become cheaper
 - (C) both its imports and exports would become more expensive
 - (D) both its imports and exports would become cheaper

57. The term 'economic dualism' defines an economy in which one sector is
- (A) highly dependent on foreign capital
 - (B) overpopulated while the other is underpopulated
 - (C) technologically advanced while the other is technologically retarded
 - (D) highly dependent on local capital
58. Which of the following are MAJOR economic problems facing many Caribbean countries today?
- I. High levels of unemployment
 - II. Adverse balance of payments
 - III. Low productivity in manufacturing
 - IV. Lack of capital for investment
- (A) I and II only
 - (B) II and III only
 - (C) I, II and IV only
 - (D) I, II, III, and IV
59. Which ONE of these methods may government use to reduce unemployment?
- (A) Unemployment levy on firms
 - (B) Increases in income tax
 - (C) Deflation of the economy
 - (D) Increased interest rates on borrowers
60. Adverse Balance of Payment problems can be corrected by
- I. tariffs
 - II. quotas
 - III. devaluation
 - IV. revaluation
- (A) I and II only
 - (B) II and III only
 - (C) I, III and IV only
 - (D) I, II and III only

IF YOU FINISH BEFORE TIME IS CALLED, CHECK YOUR WORK ON THIS TEST.